

Appendix C

MBFC + SH Governance, Capital & Control Review Toolkit

Evaluating Controls and Investments

Purpose

This appendix applies MBFC + SH to capital investments, policies, and control systems. The purpose is to evaluate these structural decisions based on both value creation and system friction.

These decisions differ from routine operational choices because they tend to:

- Persist over long periods of time
- Influence multiple parts of the organization
- Shape long-term cost, risk, and performance patterns
- Become embedded in how the system operates

Core Principle

Structural decisions should be evaluated based on net system impact.

This includes both:

- Improvements in MBFC outcomes
- Changes in Waste, Defects, Delays, Cost, Risk and Frustration

A structural decision is justified when its net system benefit exceeds its net system cost.

Section 1: Capital Investment Evaluation Lens

When evaluating capital investments, consider how the decision affects the overall system:

MBFC Dimension	Evaluation Question
More	Does it increase output, capacity, or throughput?
Better	Does it improve quality, consistency, or reliability?
Faster	Does it improve flow or cycle time?
Cheaper	Does it reduce total cost over time?
Safer	Does it improve safety or reduce risk?
Happier	Does it improve employee, customer, or stakeholder experience?

Friction Check	Evaluation Question
Waste	What waste may be created or reduced?
Defects	What errors or rework might emerge?
Delays	Where might bottlenecks appear?
Cost	What new direct or indirect costs may arise?
Risk	What risks may be introduced or shifted?
Frustration	What complexity or burden may be created?

Capital investments can be understood more clearly when viewed as system changes rather than isolated financial events.

Section 2: Policy Evaluation Lens

Policies can be evaluated by understanding both their purpose and their continued relevance.

Helpful questions include:

- What problem was this policy originally intended to address?
- Does that problem still exist at the same level today?
- Has the system changed in ways that alter the need for this policy?
- What friction does this policy introduce during normal operations?

This lens helps distinguish between policies that remain useful and those that may no longer provide proportional value relative to the friction they create.

Section 3: Control Evaluation Lens

Controls are designed to reduce risk and improve consistency.

They can be evaluated by considering:

- What specific risk does this control address?
- How significant is that risk in the current environment?
- What effort, delay, or complexity does this control introduce?
- Are there alternative ways the same risk could be managed with less friction?

This perspective helps clarify whether a control continues to provide meaningful net value within the current system.

Section 4: Net System Impact Test

Before implementing or maintaining any structural change, it can be helpful to ask:

Does this decision improve overall system performance more than it increases system friction?

If the answer is unclear, additional review or simplification may be required.

Section 5: Simplification as a Design Consideration

When multiple approaches achieve similar outcomes, simpler approaches are often easier to operate, maintain, and improve.

Complexity is not inherently negative, but it should be introduced deliberately.

Closing Perspective

Structural decisions shape organizational performance long after they are made. Their value is determined not by their intention, but by their net effect on the system.

MBFC + SH provides a consistent way to evaluate that effect.